DAY 4 · GROWTH & FINTECH

Are we bleeding acquisition money into a leaky bucket?

"Marketing is demanding another R$ 2M acquisition budget. But Boleto orders take over a day just to approve, and rumor has it almost nobody ever buys from us a second time. Are we bleeding CAC into a leaky bucket?"

Lucas Rocha, Head of Growth & FinTech

93,358
customers analysed

R$ 6.44M
paid in six months, H1 2018

4
payment methods compared

Prepared by Shatayu Roy · MySQL analysis of the public Olist dataset, January to June 2018 and full customer history · Simulated case

THE BRIEF

What needed to be checked

Lucas’s questions

- Does Boleto really take over a day to approve?
- Is it true that almost nobody buys a second time?
- Would more acquisition money leak away?

My own checks

- Is Boleto big enough for its delay to matter?
- Does the delay make us lose orders?
- Is slow Boleto the reason customers don’t come back?

THE ANSWER

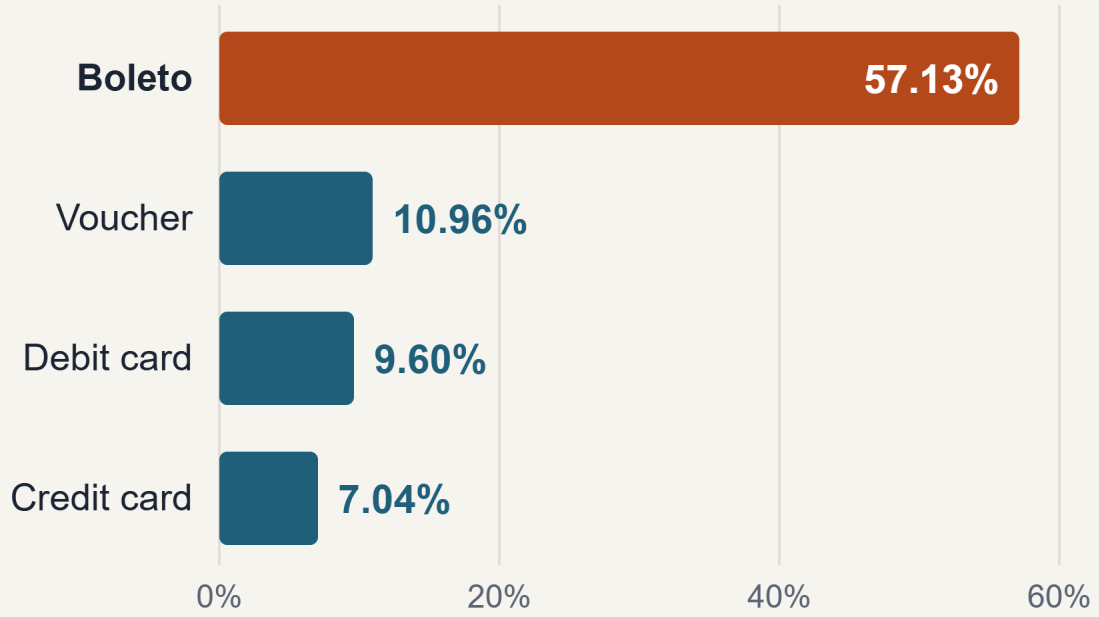
Boleto is slow and the bucket leaks, but Boleto is not the leak

1 · SPEED	57.13% of Boleto orders waited over a day for approval; card 7.04%.
2 · LOST ORDERS	Boleto loses 0.66% of orders, card 0.77%: no more than other methods.
3 · REPEAT	97% of customers buy once, and they bring 94.4% of the money.
4 · THE LINK	First-time Boleto and card buyers come back at the same 2.99%.

1 · SPEED

Boleto is really slow: 57% of orders wait more than a day

Share of orders approved more than 24 hours after purchase



33.15 hours

average Boleto wait for approval, against 4.65 hours for credit card.

17.05%

of the money paid comes through Boleto (7,679 orders), so the delay is not a side issue.

H1 2018 delivered orders; one row per order and payment type · Steps 1 and 2 · Olist delivery audit · Day 4

2 · LOST ORDERS

The delay does not lose more orders: Boleto 0.66%, card 0.77%

H1 2018, all order statuses

METHOD	ORDERS	LOST	LOST %
Credit card	32,132	248	0.77%
Boleto	7,845	52	0.66%
Voucher	1,467	13	0.89%
Debit card	585	4	0.68%

Lost

means canceled or unavailable. Shipped orders were still on the way, so they don’t count.

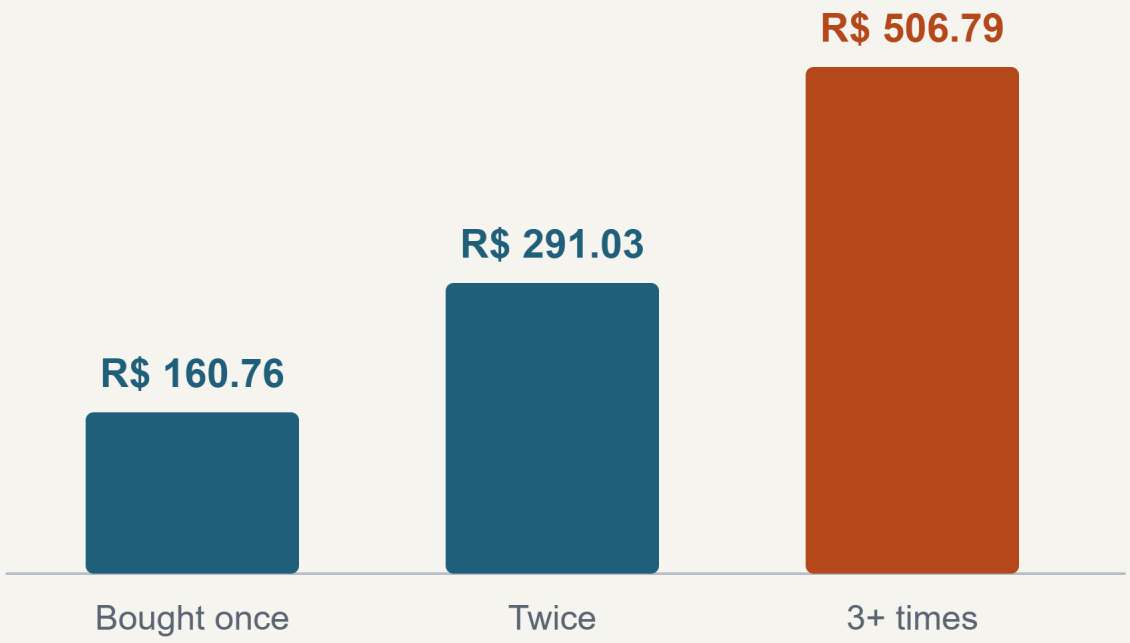
Not in the data

Unpaid Boletos. Almost every Boleto order is approved, so buyers who gave up before paying can’t be seen.

3 · REPEAT

The bucket leaks: 97% buy once and bring 94% of the money

The few who return pay far more: average per customer



97.00%

of customers bought only once (90,557 of 93,358).

94.40%

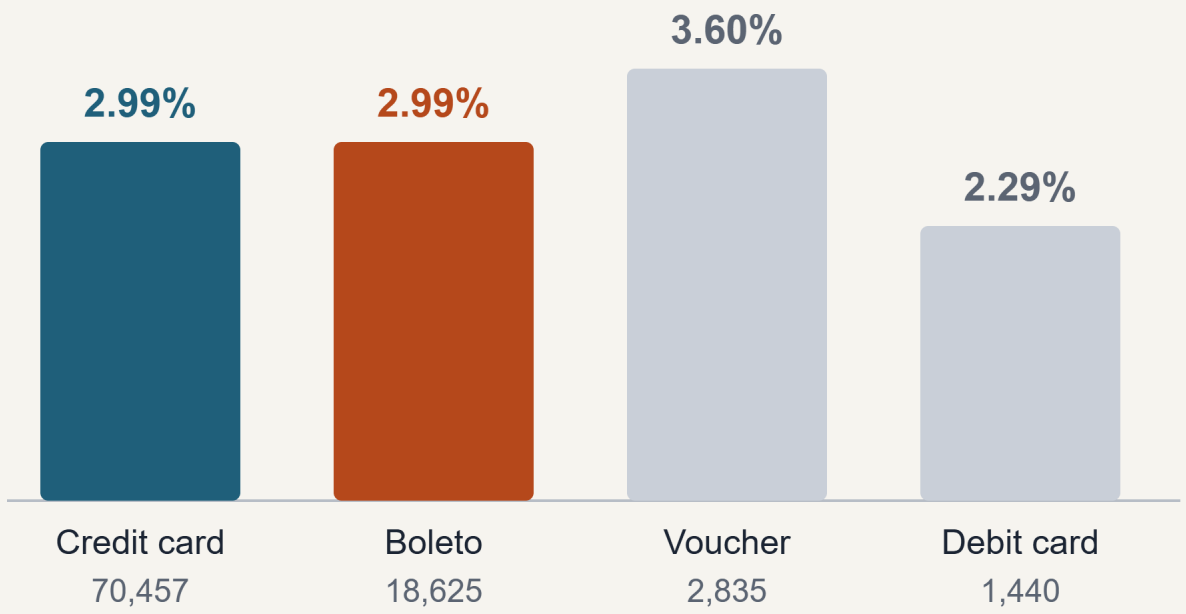
of the money comes from them. Almost the whole business runs on first orders.

Delivered orders, Sep 2016 to Aug 2018; customers by customer_unique_id · Steps 4 and 5 · Olist delivery audit · Day 4

4 · THE LINK

Boleto is not the leak: both groups come back at 2.99%

Customers who came back, by how they paid for their first order



556 of 18,625

first-time Boleto buyers came back. For card it was 2,110 of 70,457: the same rate.

What this does not show

Why customers leave. It only shows that slow Boleto and repeat buying don't go together.

First delivered order per customer, main payment method; numbers under bars = customers · Step 6 · Olist delivery audit · Day 4

WHAT TO DO

Recommendations

97%

Rebalance the R$ 2M

Most new customers buy once. Move part of the budget to getting first-time buyers to order again.

From finding 3

2.99%

Don’t sell faster Boleto as retention

Boleto and card buyers return at the same rate. Speed it up for other reasons, if any.

From findings 1, 2 and 4

R$ 161

Ask Marketing for CAC

A one-time buyer pays R$ 160.76, with freight, not profit. If one new customer costs near that, each loses money.

From finding 3

Success measure: the share of first-time buyers who order again, against 2.99% today for Boleto and card.

WHY IT MATTERS

What the company gains from acting on repeat buying

1.8×

Value of a returner

A two-order customer pays R$ 291.03 against R$ 160.76 for a one-time buyer (291.03 ÷ 160.76).

R$ 161

A ceiling for acquisition cost

What a one-time buyer brings on average, freight included. Compared with CAC, it shows if new customers pay off.

2.99%

No spend on the wrong fix

Boleto and card buyers return alike, so retention money is not spent on payment speed.

Not measured here: acquisition cost and profit. How much a retention offer would raise the repeat rate can only be tested, not predicted from this data.

NOTES

Data notes and limitations

R$ 98.19

voucher payment per order. Counting payment rows gave R$ 65.70 in the first draft: one order can hold several vouchers.

1 order

delivered with no payment row, so Step 5 has one single buyer fewer than Step 4 (90,556 vs 90,557).

Freight

is included in payments, so totals are higher than Day 3 GMV, which was item price only.

What could change the picture

- Acquisition cost is not in the data, so wasted money can’t be measured directly.
- Unpaid Boletos are probably not in the dataset.
- Recent first-time buyers had less time to return; this affects every method alike.
- Step 6 shows Boleto and repeat buying don’t go together, not why people leave.

NEXT · DAY 5 · GROWTH

Should ticket size decide where retention money goes?

Day 4 found that almost nobody comes back, whatever they paid with. On Friday evening, Growth wants to spend a retention budget on two categories picked by ticket size.

> *"We are preparing to allocate our R$ 2M retention budget across Electronics and Office Furniture based on high GMV ticket size. Can you run quick numbers and greenlight the spend?"*
>
> **Marcelo Gomes**, Head of Growth

SQL queries, results and this deck: **github.com/shatayuroy77-netizen/olist-logistics-margin-audit**